

Made-Up Money

Single stock isn't the only popular, high-risk investment. In 2009, a new form of currency emerged online: Bitcoin. This started a craze of so-called *cryptocurrencies*, digital currency competing to replace traditional dollars. Bitcoin and other cryptocurrencies can seem exciting, and I understand how cool it would be to be in on something from the very beginning, especially if it becomes the next Apple or Microsoft. But cryptocurrency is the very definition of volatility. Do you even know what Bitcoin is? It's a new type of money. It is literally a new, made-up form of currency that's being traded for goods and services online. No one really knows who created it; it has no oversight, no regulations, no accountability; and—as of today—it has almost no widespread adoption. How many risks can we squeeze into one investment?

A friend of mine got caught up in the Bitcoin craze, and now he's a nervous wreck. He told me recently that he had cashed out his entire 401(k) early and put it all into cryptocurrency. He said he wanted to be “on the front end of something new.” Well, now he's on the rear end of something dumb. He's a young guy in his thirties, so he got hit with a ton of taxes and fees for early withdrawal. If he had \$100,000 in his 401(k), he immediately lost \$40,000 to taxes, fees, and penalties. So this big investment “opportunity” cost him 40% of his money right out of the gate. Now he's watching the news every day with a desperately vested interest in how one of the most volatile investments in history is doing. Oh, and did I mention he's married with *seven* kids under the age of eight? I don't see how this guy sleeps at night! To me, putting your money into cryptocurrencies is a lot like playing Russian roulette with a fully loaded gun. It may be thrilling for a minute, but it will cost you everything in the end. Cryptocurrencies come with almost 100% risk—and that is exactly what most millionaires avoid.